

Amendment No. 1 to SB0739

Bailey
Signature of Sponsor

AMEND Senate Bill No. 739

House Bill No. 668*

by deleting all language after the enacting clause and substituting:

SECTION 1. Tennessee Code Annotated, Title 47, Chapter 18, Part 1, is amended by adding the following as a new section:

47-18-139.

(a) As used in this section:

(1) "Cash" means physical coins and notes that are legal tender in the United States;

(2) "Employee" includes:

(A) A person employed by the same parent entity, regardless of function or location;

(B) A part-time worker;

(C) An independent contractor;

(D) A worker for whom the person paying the compensation for the work performed is required to file a W-2 wage and tax statement with the federal internal revenue service; and

(E) A person employed by a third party but regularly present on a business's premises to facilitate the operation of the business and under supervision of the entity or its affiliate;

(3) "In-person transaction" includes curbside pickup, drive-through, public transportation, and other transactions where a buyer and seller are physically

present on or at a retailer's premises or point of sale, or the purchase occurs on property controlled by the seller; and

(4) "Person" means an individual, group of individuals, trust, or business entity.

(b) A person selling or offering for sale goods or services at retail through an in-person transaction:

(1) Shall not require a buyer to pay electronically or prohibit cash as payment in order to purchase the goods or services;

(2) Shall not charge a buyer who uses cash a fee or surcharge for doing so, or charge a higher price than is charged a person who pays electronically; and

(3) Shall accept legal tender when offered by the buyer as payment.

(c) Subsection (b) only applies to in-person transactions by or with a person:

(1) That employs six (6) or more employees; and

(2) Offers goods or services to consumers on retail premises or transportation, including concessionaires, vendors, and independent contractors operating under lease or license on such retail premises or transportation.

(d) For purposes of this section, a person's number of employees is calculated in the aggregate across all entities under common ownership or control, or through franchise agreements operating under the same brand or business model in this state.

(e) Subsection (b) does not apply to:

(1) A person that provides a device on the person's retail premises that converts cash into a prepaid card that allows a buyer to complete a transaction at such retail establishment, as long as:

(A) Upon request by a buyer, the device provides the buyer with a paper or electronic receipt indicating the amount of cash the buyer deposited onto the prepaid card;

(B) Cash deposits onto the prepaid card are not subject to an expiration date, or to dormancy, maintenance, or other fees;

(C) There is no limit on the number of transactions that may be completed on the prepaid card;

(D) Cards issued at a kiosk are redeemable at the point of sale for the full balance at any time without submitting paperwork or submitting to a waiting period; and

(E) The device does not:

(i) Charge a fee;

(ii) Require a minimum deposit amount of greater than five dollars (\$5.00); or

(iii) Require identification, creation of an account, or entry of personally identifiable or contact information;

(2) A public institution of higher education that provides a location on campus during regular business hours that converts cash into a prepaid card that allows a buyer to complete a transaction at such campus, as long as:

(A) Upon request by a buyer, the device provides the buyer with a paper or electronic receipt indicating the amount of cash the buyer deposited onto the prepaid card;

(B) The device does not charge a fee or require a minimum deposit amount of greater than five dollars (\$5.00);

(C) Cash deposits onto the prepaid card are not subject to an expiration date, or to dormancy, maintenance, or other fees;

(D) There is no limit on the number of transactions that may be completed on the prepaid card; and

(E) Cards issued at a kiosk are redeemable at the point of sale for the full balance at any time without submitting paperwork or submitting to a waiting period;

(3) Special events or parking transactions on the campus of, or camps organized by, a public institution of higher education;

(4) A business operating under the Tennessee Self-Service Storage Facility Act, compiled in title 66, chapter 31; or

(5) A privately-owned arena or venue with a capacity of fifteen thousand (15,000) or more. This subdivision (e)(5) does not exempt an arena or venue that is owned by this state or an entity of this state.

(f) A person shall not require biometric verification or mobile application enrollment as a condition for access to a retail premises or transportation system or vehicle, or to complete an in-person retail transaction when a buyer offers to pay in cash.

(g)

(1) Subsection (b) does not prohibit a provider of goods or services from refusing to accept cash for a transaction that exceeds the greater of three thousand dollars (\$3,000) or the amount specified by the attorney general and reporter pursuant to subdivision (g)(2).

(2) Beginning in 2027 with the earliest publication of consumer price index data for calendar year 2026, the attorney general and reporter shall annually calculate and publish on its website the threshold dollar amount in subdivision (g)(1) adjusted for inflation according to the previous calendar year's rate of inflation according to the consumer price index published by the United States bureau of labor statistics.

(h)

(1) A violation of this section constitutes a violation of the Tennessee Consumer Protection Act of 1977, compiled in this part.

(2) For the purpose of application of the Tennessee Consumer Protection Act of 1977, a violation of this section constitutes an unfair or deceptive act or practice affecting trade or commerce and is subject to the penalties and remedies as provided in the Tennessee Consumer Protection Act of 1977, in addition to the penalties and remedies set forth in this section; provided, that a violation of this section does not incur a criminal penalty.

(3) If the attorney general and reporter has reason to believe that a person has violated this section, then the attorney general and reporter may institute a proceeding under this section.

(i) Notwithstanding this part to the contrary, in addition to other remedies available under this part, a person aggrieved by a violation of this section may bring suit for actual and punitive damages in the chancery court of either the plaintiff's or the defendant's county of domicile or business location. To prevail in an action brought under this subsection (i), the plaintiff must first serve the defendant with a cease-and-desist letter. If the defendant does not respond within thirty (30) days or continues to violate this section, then the court may issue an injunction and award the plaintiff actual damages and reasonable attorney fees. Notwithstanding § 47-18-109(a)(3), the court may also award punitive damages in the amount of up to three (3) times the actual damages.

(j) If a defendant in an action for a violation of this section employs more than one hundred (100) employees and has previously been found to be in violation of this section, then § 47-18-109(g) does not apply.

(k) This section does not waive the sovereign immunity of an agency or instrumentality of this state or of an employee of an agency or instrumentality of the state.

SECTION 2. Tennessee Code Annotated, Section 47-18-109(g), is amended by deleting "No class action lawsuit may be brought" and substituting "Except as provided in § 47-18-139(j), a class action lawsuit must not be brought".

SECTION 3. Tennessee Code Annotated, Section 47-18-104(b), is amended by adding the following as a new subdivision:

() Violating § 47-18-139;

SECTION 4. This act takes effect July 1, 2026, the public welfare requiring it, and applies to actions occurring on or after that date.